

RXO

RXO, Inc.

\$20.98

+9.84%

RS vs SPY: +26.0%

B STRONG SETUP

\$3.5B Cap | 125M Float

Trucking / Transportation Brokerage | Theme: Freight Brokerage Recovery | 52W Hi: 90% | Base Tight: 4.43 | Vol: 1.71x | RS/SPY: +26.0% | Above 20MA: YES | EARNINGS

SETUP METRICS	
Price	\$20.98
Day Change	+9.84%
Mkt Cap	\$3.47B
Float	125M sh
RS vs SPY	+26.0%
52W Hi Prox	90%
Base Tight	4.43
Vol vs Avg	1.71x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
The ~10% gap-up move is driven by a strong earnings beat or materially positive freight-market datapoint (likely volume/yield inflection or guidance raise signaling a freight cycle trough-to-recovery), creating a momentum re-rating. The key forward catalyst is the next earnings print on August 06 - if the freight cycle recovery narrative continues to build through Q2 data (Cass Freight Index, DAT spot rates, broker margin expansion), RXO becomes a high-beta play on a full upcycle re-rating over the next 2-3 months ahead of that print.
BUSINESS & POSITION
RXO is a pure-play tech-enabled freight brokerage and managed transportation platform spun out of XPO in 2022, operating one of North America's largest open brokerage networks connecting shippers with carriers. Its competitive edge lies in proprietary technology (RXO Connect platform), massive carrier relationships (~1M+ carriers), and exposure to spot and contract truckload markets where it captures outsized upside during freight upcycle inflections.
FACTOR & THEME
Primary exposure is to the freight/logistics upcycle theme - a secular reshoring and nearshoring tailwind increases domestic freight demand structurally, while the cyclical recovery from the 2023-2025 freight recession is the near-term accelerant. Macro sensitivity is high: any tariff-driven trade disruption or consumer demand softness is a direct headwind, but a confirmed cycle turn is a powerful mean-reversion + growth re-rating event.
BREAKOUT SIGNAL
Close above \$21.00 (today's intraday breakout level / near-term resistance) on volume >171% of 20-day average - confirmation requires a second consecutive accumulation day above \$21 to validate institutional follow-through rather than a one-day event trade.
INSTITUTIONAL
Institutional ownership data is not available from this feed - recommend cross-referencing 13F filings for current holder composition. No insider open-market buying in the last 60 days (insider_count = 0, insider_value = \$0); the insider_12m context is not populated, so no broader cluster signal is available. Volume today at 1.71x average is above the pre-filter threshold but falls short of the 2x+ institutional block-buying signature - the move reads more as a forced re-rating by existing holders and momentum players than a fresh institutional accumulation event. No A/D grade, monthly flow trend, or silent-build data provided; unable to assess accumulation/distribution regime from this feed.
EARNINGS
EARNINGS IN 79D
EARNINGS CONTEXT
Next earnings: August 06. Consensus estimates and prior-quarter beat history are not supplied in this feed. RXO has historically been volatile around prints given freight cycle sensitivity - a serial beat pattern would require confirmation via sell-side consensus data. The ~10% move today suggests the market is pricing in at least one quarter of positive inflection; the August print becomes binary confirmation or denial of the recovery thesis.
KEY RISK
Thesis is invalid on a close back below the \$19.00-\$19.50 area (the prior consolidation ceiling / gap-fill zone); a freight spot-rate reversal in May-June DAT/Cass data or any guidance cut / cautious commentary ahead of August 06 would confirm the move as a one-day over-reaction rather than a sustained re-rating. The wide base (base_tight 4.43 - well above the 2.0 VCP threshold) is the most important structural risk: this is NOT a coiled, low-volatility setup; it is a volatile stock making a large single-day move from a loose, wide consolidation, which historically produces higher failure rates on follow-through.

ANALYSIS

The strongest disconfirming evidence is the wide base (base_tight 4.43) combined with the RS line NOT at a 52-week high - by Qullamaggie's framework, this is the clearest signal that today's move is a volatile single-day re-rating from a sloppy, uncoiled base rather than a clean institutional breakout from a tightening structure; wide bases produce follow-through at materially lower rates than VCP/coil setups. The bull case rests on freight cycle mean-reversion (a powerful theme) with a durable 79-day catalyst runway to August earnings, rs_vs_spy of +26 is genuine leadership, and prox_52w of 89.8 is in breakout territory - but the absence of RS line new high, the loose base, sub-2x volume, and the mixed/transitional macro regime (IWM underperforming SPY by 4.2% over 20 days, which is a direct headwind for SMID cyclicals) collectively cap this at a solid B. In a risk-on, small-cap-leading tape this would be a stronger conviction B; in the current mixed regime with IWM lagging, conviction is trimmed. Conviction: Medium.

Signal: Close above \$21.00 (today's intraday breakout level / n
Vol vs Avg: 1.71x

